

Water Tax Act, 1966

Document type: act

Source: Nepal Law Commission / Ministry of Law, Justice and Parliamentary Affairs

Chunks merged: 3

Water Tax Act, 2023

Certification and Publication Date

2023.6.9

Amending Acts

1. Revenue Tribunal Act, 2031 2031.4.18

This Act has come into effect from Jestha 15, 2064, and the words "Proclamation" and "Kingdom" have been deleted.2. Republic Strengthening and Some Nepal Laws (Amendment) Act, 2066 2066.1.7

Act No. 16 of the Year 2023

An Act Made for the Provision of Collecting Water Tax

Preamble: Whereas it is desirable to systematize the procedure for collecting the amount of water tax leviable under the prevailing laws of Nepal,

Therefore, this Act is made by His Majesty King Mahendra Bir Bikram Shah Dev, with the advice and consent of the National Panchayat. 1. Short Title, Extent, and Commencement: (1) This Act may be cited as the "Water Tax Act, 2023."

(2) This Act shall extend to the whole of Nepal deleted by the Republic Strengthening and Some Nepal Laws (Amendment) Act, 2066..

(3) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Tap" means a tap installed for the consumption of water distributed by the Government of Nepal through a pipeline.

(b) "Tax" means the water tax leviable under the prevailing laws of Nepal.

(c) "Taxpayer" means an individual, firm, or organized institution liable to pay water tax pursuant to sub-section (1) of section 4.

(d) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act. 3. Tax to be Collected According to this Act: Where any Act provides for imposing a tax annually or for any particular year, such tax shall be collected and recovered in accordance with this Act and the rules made under this Act. 4. Duty to Pay Tax: (1) Every person registering a tap in his/her own name shall pay the amount of tax leviable in respect of such tap under this Act and other prevailing laws of Nepal as set forth in this Act.

(2) The tax payable pursuant to sub-section (1) shall be calculated from the month in which the tap is

installed and shall be paid on a monthly basis according to sub-section (3). Explanation: Regardless of on which day of the relevant month the tap is installed, the tax for that entire month must be paid.

(3) The taxpayer must pay the tax for each month at the prescribed office by the month following the month for which the tax is due.

Provided that, any tax remaining unpaid before the commencement of this Act must be paid in full within two months from the date of commencement of this Act. (4) Notwithstanding anything contained in sub-sections (2) and (3), if a taxpayer wishes to pay the tax amount in advance before the deadline mentioned in sub-section (3), he/she may pay for any number of months. 5. Additional Charge: If any taxpayer fails to pay the tax within the deadline mentioned in sub-section (3) of section 4 and brings it for payment after such deadline, the tax shall be accepted after also collecting an additional charge from him/her as follows:- (a) If brought for payment within 15 days after the expiry of such deadline, 10 percent of the tax, (b) If brought for payment after 15 days but within 30 days after the expiry of such deadline, 20 percent of the tax, (c) If brought for payment after 30 days but within 3 months after the expiry of such deadline, 50 percent of the tax, and (d) If brought for payment after 90 days but within 6 months after the expiry of such deadline, one hundred percent of the tax. 6. Disconnection of Water Supply: If any taxpayer fails to pay the tax payable by him/her and the additional charge under section 5 even within 6 months after the expiry of the deadline mentioned in sub-section (3) of section 4, the distribution of water as mentioned in clause (a) of section 2 from the tap registered in his/her name shall be disconnected. 7. Arrears of Tax: Arrears of water tax recoverable under this Act or the rules made under this Act shall be recovered by the prescribed office or officer in accordance with the prevailing Nepal law as a government due. 8. Transfer of Tap: (1) If any other person acquires a right over a tap registered in the name of a taxpayer, a written application must be submitted to the prescribed office within one month to register such tap in his/her own name. If an application is submitted after such deadline, the chief of the prescribed office may impose a fine of up to a maximum of Rs.

10 (ten) and proceed according to sub-section (2). (2) If any person transfers his/her right over a tap registered in his/her name to another person, he/she must submit a written application to the prescribed office within one month to delete the record of such tap from his/her name. If an application is submitted after such deadline, the chief of the prescribed office shall impose a fine of up to a maximum of Rs. 10 (ten) and delete the record of such tap from his/her name. (3) Upon receipt of an application under sub-section (1), the prescribed office shall make necessary inquiries as prescribed, and if no other claim is seen over such tap, the tap shall be registered in the applicant's name; if another claim is made, action shall be taken as prescribed. 9. Water Tax Not Leviable: Notwithstanding anything contained in section 3 or other prevailing Nepal law, water tax shall not be leviable on the following taps:- (a) deleted by the Republic Strengthening and Some Nepal Laws (Amendment) Act, 2066 (b) Taps installed in houses, offices, etc. under the Government of Nepal, (c) Taps installed in public educational institutions, hospitals, libraries, orphanages, religious institutions, temples, rest houses (pati-pauwa), etc., (d) Taps located on roads, pathways, or parks for public benefit, (e) Taps registered in the name of any person which are not used by him/herself but placed for charitable or public benefit purposes in any religious or social institution or on roads/pathways, for the duration of such placement, (f) Taps as specified by the Government of Nepal, by publishing a notice in the Nepal Gazette, as being partially or fully exempt from water tax. 10. Penalty: If any person, with the intention of evading the tax leviable under this Act or other prevailing law, consumes water distributed as mentioned in clause (a) of section 2 in any manner other than through a tap registered at the prescribed office, such person may be punished by the prescribed officer by order with a fine of up to Rs. 1,000 (one thousand) or

imprisonment for up to 3 months, or both. Amended by the Revenue Tribunal Act, 2031.11. Appeal: An appeal against an order imposing a penalty under section 10 by the prescribed officer shall lie to the Revenue Tribunal. 12. Power to Make Rules: The Government of Nepal may make rules for the purpose of implementing this Act. 13.